

GoOuts

Sponsor & Budget Brief — Payment Architecture & LTV Economics

Confidential · May 2026 · V4 JIT-VRP Architecture

1. Executive Summary

GoOuts is a UK cashback and rewards platform built on a proprietary Just-In-Time Variable Recurring Payment (JIT-VRP) architecture. Unlike traditional fintech wallets that require users to pre-load funds and expose the operator to heavy FCA e-money regulation, GoOuts uses Open Banking to pull the exact payment amount from the customer's own bank at the moment of purchase — keeping zero idle funds on the platform, minimising regulatory overhead, and converting the payment infrastructure into a net revenue engine via commercial card interchange.

This brief sets out the confirmed architecture, the unit economics per customer, and the resulting LTV model that underpins the GoOuts fundraising ask.

2. Payment Architecture — V4 JIT-VRP

How It Works

Every GoOuts virtual card is maintained at a permanent balance of £0.00. No user money sits idle on the platform. When a customer taps their GoOuts card at a partner terminal, the following happens in under 2 seconds:

Step 1 — Card Tap: The merchant terminal captures a commercial card transaction and fires a JIT authorisation webhook to the GoOuts backend.

Step 2 — VRP Sweep: GoOuts triggers an Open Banking Variable Recurring Payment (VRP), pulling the exact amount from the customer's personal bank via Faster Payments at a flat 5p–11p fee — regardless of transaction size.

Step 3 — Approval: Funds arrive in the GoOuts clearing pool. The backend returns an approval signal to the card network within the 2-second timeout window.

Step 4 — Interchange: Because the card is issued as a Commercial card (not consumer), GoOuts earns 1.1%–2.1% gross interchange revenue on every transaction. The BaaS partner shares 50–70% back to GoOuts.

Step 5 — Cashback Credit: GoOuts credits the customer's cashback balance directly from the interchange revenue earned — making the cashback model self-funding.

Regulatory Position

GoOuts registers as a **Payment Initiation Service Provider (PISP)** under PSD2/PSR — a significantly lighter FCA authorisation than an Electronic Money Institution (EMI) licence. Because GoOuts never holds customer funds, safeguarding rules do not apply. KYC is handled by the Open Banking consent flow (bank-verified identity) and the BaaS card issuing partner — not a separate KYC vendor such as Sumsub or Stripe Identity.

3. Cost Structure Per Customer

One-Off Onboarding Cost

Each new customer incurs a single all-in onboarding cost at sign-up:

['Cost Item', 'Provider', 'Cost Per Customer']		
Open Banking VRP Consent Setup	TrueLayer / Yapily	~20p – 50p (one-off)
Commercial Virtual Card Provisioning	Modulr / Stripe Issuing	~10p – 20p (one-off)
KYC (bank-verified via consent flow)	Included above	£0 separately

Total onboarding cost per customer: 30p – 70p (KYC included — no separate vendor bill)

Per-Transaction Operating Cost

Every purchase incurs a flat-rate VRP sweep fee, completely decoupled from transaction size:

['Event', 'Mechanism', 'Cost']		
VRP Faster Payments Sweep	Open Banking flat fee	5p – 11p per transaction
JIT Webhook Processing	Cloud infrastructure	<0.5p (bundled in compute)

Comparison: Traditional card-loading costs 1.4%–2.5% + fixed pence per load. On a £50 transaction that is 70p–£1.25 vs 5p–11p for GoOuts — a 10× to 15× cost saving per transaction.

4. Revenue Per Transaction — Interchange Engine

By issuing **Commercial virtual cards** (not consumer cards), the UK/EEA 0.20% interchange cap does not apply. Commercial interchange runs at 1.1%–2.1% gross. The BaaS partner contractually shares 50–70% of that back to GoOuts on every transaction.

['Scenario', '£30 Transaction', '£50 Transaction', '£100 Transaction']			
Gross Interchange (1.1% low)	33p	55p	£1.10
Gross Interchange (2.1% high)	63p	£1.05	£2.10
GoOuts Share (60% mid)	20p – 38p	33p – 63p	66p – £1.26
Less VRP Sweep Cost	–8p	–8p	–8p
Net Margin Per Transaction	12p – 30p	25p – 55p	58p – £1.18

GoOuts is **cashback-positive from day one** of live transactions. Partner affiliate commission is funded directly from interchange revenue — no external subsidy required.

5. Architecture Comparison

V4 JIT-VRP vs Traditional Wallet Model

['Factor', 'Traditional Wallet / Top-Up', 'GoOuts V4 JIT-VRP']		
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Customer funds held	Yes — safeguarding required	No — stays in customer's bank
FCA licence	EMI licence (heavy, expensive)	PISP registration (light touch)
KYC cost	£1–£3 per user (Sumsb / Stripe)	£0 — bundled in VRP consent
Onboarding cost per user	£1–£4+	30p – 70p
Transaction cost	1.4%–2.5% per load	5p – 11p flat
Revenue per transaction	£0 (pure cost)	+25p – 55p net (interchange)

6. Customer Lifetime Value (LTV) Model

Assumptions

- Average transaction value: £40
- Transactions per active user per month: 6–10
- Active user ratio: 50% of registered users transact monthly
- GoOuts net interchange margin retained: ~40p per transaction (mid estimate)
- Partner commission share per transaction: ~13p
- Average customer lifetime: 24 months

LTV Calculation — Per Active Customer

['Metric', 'Conservative', 'Optimistic']		
Monthly transactions	6	10
Net interchange revenue / month	£2.40	£4.00
Partner commission share / month	£0.80	£1.50
Total monthly revenue per user	£3.20	£5.50
24-month lifetime revenue	£76.80	£132.00
Less onboarding cost	–£0.70	–£0.70
LTV per active customer	~£76	~£131

7. Budget Guidance for Sponsors

With onboarding at 30p–70p per customer (all-in, KYC included), the majority of sponsor budget can be directed at growth and acquisition rather than infrastructure compliance.

Recommended Budget Allocation (Seed / Series A)

['Category', 'Allocation', 'Rationale']		
Tech & Backend (BaaS + VRP integration)	35%	TrueLayer / Modulr API build, sandbox, go-live

User Acquisition & Marketing	30%	Low CPA needed — LTV justifies £5–10 CAC easily
Partner Onboarding (merchant sign-ups)	15%	Sales, partner portal, QR terminal rollout
Compliance & Legal (PISP registration)	10%	One-off FCA PISP reg + legal review (~£5–15k)
Operational Reserve	10%	NSF buffer, infrastructure scaling, team ops

Key Sponsor Metrics to Track

- Cost Per Acquired User — target: £2–5 CAC with V4 model
- Active User Rate — target: 50%+ monthly active from registered base
- Average Transactions Per Active User Per Month — target: 8+
- Net Interchange Revenue Per User Per Month — target: £3+
- LTV:CAC Ratio — target: 15:1 or better at scale

8. Summary

GoOuts has selected a payment architecture that simultaneously eliminates the three biggest cost centres for a UK fintech startup — heavy FCA regulation, expensive KYC vendors, and percentage-based payment gateway fees. By replacing all three with a single Open Banking VRP + Commercial Card infrastructure, GoOuts achieves:

- **30p–70p** all-in onboarding cost per customer (KYC included)
- **5p–11p** flat cost per transaction regardless of basket size
- **25p–55p** net interchange revenue per transaction from day one
- **£76–£131** LTV per active customer over 24 months
- **PISP registration only** — no EMI licence, no safeguarding overhead

This architecture turns the payment layer from a cost centre into a primary revenue engine — making GoOuts structurally profitable on every single customer transaction before affiliate partner commission is included.

Confidential — GoOuts Ltd · Prepared May 2026 · Architecture based on GoOuts Technical Spec V4 (JIT-VRP Engine Document)